TECHNICAL ANNEX C TO CODE 16 — FIRST-YEAR OPERATING CHARTER

Version: V1.3

Technical annex adopted pursuant to Article 19 of Code 3 and referred to in Articles 1, paragraph 2, letter j), and 3, paragraph 1, letter g), of Code 16. It does not constitute an autonomous source of obligations or sanctions: it brings together in a single text the rules that a pilot Circle needs in its first twelve months. In the event of conflict, the Constitution and the Codes prevail.

Art. 1 — Whom it is for and what it contains

1. This Charter is intended for a pilot Circle composed of thirty to five hundred persons in Phase 0 provided for by Article 3 of Code 16; above one hundred and fifty persons, the grouping of the Councils of Article 3, paragraph 2, does not apply, unless the Assembly resolves otherwise.
2. It indicates only what is necessary in order to begin. Everything that is not indicated is activated in phases, when the relevant thresholds are met, in accordance with Articles 3 and 4 of Code 16.
3. Every rule of the Charter refers to the provision from which it derives. The Charter shall not be used to impose conduct not provided for by the Codes.

Art. 2 — What is needed to start

1. To launch a pilot Circle the following are needed:

   a) at least thirty persons who join individually, voluntarily and on an informed basis, pursuant to Article 2, paragraph 8, of Code 16;

   b) a non-profit entity recognised by the local legal order, in accordance with Article 16 of Code 15;

   c) a place and an initial census, aggregate and non-profiling, of land, competences, equipment, animals present and needs;

   d) a minimum Storehouse and a minimum Knowledge Storehouse;

   e) a Common Fund with separate accounting, in accordance with Article 17 of Code 15.
2. Before joining, each person receives the Constitution, this Charter and an indication of the proportional contribution on external income provided for by Article 19-bis of Code 15.
3. No one shall be induced to leave external work, to confer goods or to renounce rights recognised by the legal order in force.

Art. 3 — Bodies of the first year

1. Decisions are taken by the Assembly, composed of all the persons who have joined, who vote individually and without proxy, in accordance with Article 12 of Code 3.
2. The technical Councils are grouped into the three Area Councils provided for by Article 12-bis, paragraph 12, of Code 3: Material Life, People, Technical Safeguards. They do not command: they prepare matters, propose, and carry out decisions already taken.
3. There are also established the Accounting Council, the Guarantee Circle provided for by Article 4 of Code 4 and the Transition Council provided for by Article 5 of Code 16.
4. All offices are conferred by sortition among suitable and available persons, with the right of refusal. Coordination, facilitation and guarantee shall last no more than ninety consecutive days, pursuant to Article 4.4 of the Constitution.
5. The time devoted to administration shall not exceed one tenth of the total CBO, in accordance with Article 12-bis, paragraph 13, of Code 3.

Art. 4 — How decisions are taken

1. Ordinary decisions are adopted by the consensus method in the absence of valid reasoned objections, after publication of the proposal for at least seventy-two hours, in accordance with Article 4 of Code 3.
2. Decisions that the matrix of Article 7 of Code 3 reserves to the Assembly are adopted with the quorums and majorities of Articles 12 and 13 of the same Code.
3. Every decision is reasoned, recorded and published. Anyone who has an interest in it may appeal in accordance with Article 17 of Code 3.
4. The Assembly meets, as a rule, at least once a month.

Art. 5 — Needs and labour

1. The starting point is needs: every quarter the Assembly approves the requirement and the Labour Balance provided for by Article 2 of Code 1.
2. The CBO shall not exceed an average of fifteen hours per week, in accordance with Article 3 of Code 1. Unpleasant and arduous tasks rotate among all.
3. If the hours needed exceed those available, first the deferrable activities are reduced and the formalities are simplified; the limit is not increased, except under the Solidarity Protocol, pursuant to Article 3, paragraph 3, of Code 1.
4. People’s external work is not CBO and remains free, in accordance with Article 19 of Code 15, except for the work in the essential supply chains provided for by its paragraph 3.

Art. 6 — Basket and Storehouse

1. Vital emergencies and essential needs have priority: water, food, basic energy, health care, housing. In capacity conflicts Article 32 of Code 1 applies; Basket 1-2 is defined by paragraph 1-quinquies of that Article.
2. The inventory of the Storehouse is public in aggregate form. The goods of the Basket are distributed according to need and are not bought and sold among members.
3. What cannot yet be produced is purchased externally by the Common Fund and is entered as a dependency to be reduced.

Art. 7 — Conflicts

1. Conflict is addressed first of all through the voluntary restorative procedure of Articles 5 to 8 of Code 4, with the assistance of the Guarantee Circle.
2. During the transition, no measures of containment, coercive removal or location tracking are applied. For acts that the legal order in force classifies as a criminal offence, the public authorities remain competent, in accordance with Article 37 of Code 4.
3. A person who reports a problem in good faith shall not suffer retaliation, in accordance with Article 16 of Code 4.

Art. 8 — External relations and money

1. The Circle complies with the legal order in force and with tax and contractual obligations, in accordance with Article 15 of Code 15.
2. External means of payment are held only by the Common Fund and do not circulate among members.
3. External income remains with the persons, gives no internal advantage and contributes to the Fund proportionally, in accordance with Article 19-bis of Code 15.

4. No debts that create a critical dependency are contracted, in accordance with Article 9 of Code 16.

Art. 9 — Land, animals and commons

1. Goods conferred are entered in the provisional inventory of Article 6 of Code 16. The conferral of goods is voluntary and states whether it is definitive or for temporary use.
2. In the first year no decisions are adopted that make the destination of ecological or territorial goods irreversible.
3. The animals present remain with the Community if the conditions of Article 6-bis of Code 9 are met. Every prohibited practice ceases without delay.

Art. 10 — Verification at twelve months

1. At the end of the first year the Assembly verifies the thresholds of Article 4 of Code 16, also by means of the Social Start-up Protocol, and publishes a report.
2. The report indicates what has worked, which rules have proved inapplicable or too burdensome and which simplifications are proposed, also for the purposes of Article 38 of the Constitution.
3. The Charter is updated on the basis of the report.